

Historically it has been a toss-up as to which option is better. Because of the lower fees, index funds can be harder to beat. However, indexes weren't created to be investments unto themselves; they are more of a barometer as to how certain markets are performing. They can also be heavily weighted in certain holdings, thereby reducing the diversification you might get with other funds. Fund managers can also make certain investment decisions and change up the holdings of a fund if there is trouble brewing, something index funds can't do as easily. If an index is sinking and you're not watching it actively, you're going down with the ship.

MORE ABOUT MUTUAL FUNDS

There is much more to mutual funds than the simple overview given here. We could talk about classes of shares, equity funds, bond funds, money market instruments, disclosure scandals, Exchange-traded funds, and the list goes on and on from there.

What I can say in favor of mutual funds is that they are a great way to invest for the long haul in a passive manner. You can create a “bomb-proof” portfolio of funds that is well balanced and diversified, and then

technically forget about it. Given enough time, good fund managers, and a good financial planner keeping an eye out for you, you can reach your financial goals without having to watch the stock ticker every day.

— Nora Dunn

How to Start a Roth IRA (and Where to Do It)

You've heard how awesome Roth IRAs are and how starting one now can mean big bucks when you're older. You've even done some research so you have a vague idea of how a Roth IRA works. Now what? How do you actually start one yourself? It's surprisingly easy to set up a retirement account and to begin investing in your future.

BEFORE YOU INVEST

Saving for retirement is important, but there are other aspects of personal finance, and you should take care of